

Ageism at its Breaking Point: *Aging Demographics in East Asia*

Birth rates in the affluent East Asian countries—including but not limited to South Korea, Japan, and China—are in freefall. Analysts and consultants have taken notice, warning the world that an aging population spells the end of collective prosperity. The claim is that the elderly statistically take more from healthcare and social spending, without currently providing their fair share. The retiree-to-worker ratio has increased rapidly, and this trend is showing no sign of stopping. At the time of writing, East Asian governments are actively implementing policies to reverse this trend, seemingly to no avail. Birth rates continue to fall despite marriage visas, tax breaks, and affordable childcare. Populations are told this is a doomsday-level catastrophe.

What remains unclear, however, is how rates below replacement could mean extinction. Mathematically, unless reproduction rates reach zero, there is no risk of extinction. Despite the rapidly decreasing birth rates, there is no biological incentive for people universally to turn away from childbearing.¹ Researchers have attempted to deduce the origin of this alarmist perspective; however, any reasons other than economic interests are inconclusive.² Yet, consultants at McKinsey continue to warn of “population collapse in this century.”³ Their idea of a collapse is solely driven by its impact on capital owners rather than the laborers who provided the capital to begin with. There is a reason for the myth of population dependency. This myth is a function of helplessness. Older people are uniquely defenseless in the face of youthful oppression. Corporations originally promised to be both the givers and takers of society by providing social safety nets for workers in their older years. Despite this, the young are being held accountable for corporate abdication of responsibility. Any shifting of responsibility from corporations to children only bolsters this dynamic of a burdened youth. Furthermore, the fact that retirees are

¹ Calvo-Sotomayor, I., Atutxa, E., & Aguado, R. (2020, July 22).

² Rowe J.W. Facts and fictions about an aging America. *Contexts*. 2009;8:16–21.

³ Madgavkar, A., Noguera, M. C., Bradley, C., White, O., Smit, S., & Radigan, T. (2025, January 15).

considered their own class reflects the dehumanizing effect of structural inadequacies. It is much cheaper to worship the elderly than to take care of them. The old are a perfect target, a scapegoat, a mere symptom of dogged attachment to the status quo. An attachment to the status quo more accurately describes any potential collapse.

It is true that birth rates are falling rapidly; however, there is no indication that this is a result of anything other than success. Infant mortality is at record lows in both Japan and South Korea, with China not far behind⁴. Additionally, marriage is no longer a necessary factor in a stable livelihood⁵. Access to contraception is growing steadily, and women now have the agency to choose when they have a child⁶. These benefits, however, are undermined by surrounding economic conditions. Corporations deprive the lower classes of the means to take care of children, then lament a possible labor shortage. Those who focus on the bottom line are inevitably smothered by their own apathetic structures.

After the postwar population boom in East Asia, youthful populations provided abundant exploitable labor with little to no repercussions for corporations. Companies, then, became *dependent* on this curve; dependence is a term that will appear often in all of the necessary analysis. East Asian governments recognized the advantages of a youthful curve. They invested heavily in education, social programs, and vocational training for their populations. The effects of investment in education are undeniable. In 2024, unskilled-labor numbers in South Korea hit record lows⁷. Despite the demand for unskilled labor decreasing, there has been no increase in trained labor. Ashton explains this effect: “For more affluent countries, human capital has a direct dynamic effect, which is argued to be linked to a country’s ability to generate its own

⁴Thuy, D. (2020, April).

⁵Burns, O. (2017, July 18).

⁶[United Nations Department of Economic and Social Affairs, Population Division (2022).]:

Regions with the highest proportions of modern contraceptive use among women who want to avoid pregnancy are Eastern and South-Eastern Asia (87 percent)

⁷Jeong-yoon, C. (2024).

technological progress rather than to import technology from more advanced nations.⁸”

High-income positions in tech automate low-skill jobs, though they do not provide any incentive for companies to increase their total skilled laborers. To maintain margins, companies leave unskilled laborers behind with no recourse, a natural step in capitalistic development.

This cultural damage was destined from the start. Ideally, automation lowers the aggregate demand for labor. Taxes on corporations, then, could fund the same social programs that educated the workforce to begin with. Corporations, however, like to point to social dependency as a plague. It is clearly in their interest to do so. The relationship between supply and demand is the most basic concept in economics. If the working population decreases, so too does negotiating leverage. As automation in key industries continues, corporations require less labor every year—a shift that ought to lead to less human labor overall. Instead, the erosion of social safety nets has bred desperate logic in those with hopes of security. This is epitomized by Chinese mothers who said “they believe their children can be ‘the best’ students, that ‘academic achievement reflects successful parenting,’ and that if children did not excel at school then there was ‘a problem’ and parents ‘were not doing their job.’⁹” It is true that under deleterious material conditions, it is rational for parents to pressure their children to perform. However, the end goal of automation was to work less, yet Asian parents are still trapped in this old narrative. This is especially true considering the quality of education that children are actually receiving. Asian parents have become the Pinkertons of childhood through no fault of their own.

Corporations have monetized education by incentivizing nominal success. Japanese political analysts characterize this outcome: “new attempts to make a nation of acquiescent little

⁸ Ashton, David, Green, Francis, and James, Donna. *ESRC Pacific Asia : Education and Training for Development in East Asia : The Political Economy of Skill Formation in Newly Industrialised Economies* (1). Florence, US: Routledge, 2005

⁹ Chua, A. (2011)

capitalists is no less obnoxious than pre-war attempts to make a nation of acquiescent little militarists.¹⁰” The quest for constant growth inevitably creates dissonance in educational systems with a maximum threshold for success. Goals gradually shift from learning to efficiency, at the cost of personal development and abstract traits that are unaccounted for in school metrics. Over time, school transcripts have become a way to measure corporate liability rather than self-development—a corporate takeover of purpose that should be troubling to those with faith in academia. Students who are left behind eventually depend on society to come back for them, steadfast in unrequited hope.

Education has undeniably shifted away from personal development towards nominal success—the effects on economic outcomes remain to be seen. Japan has long served as a canary in the coal mine for the United States, with its social trends often presaging similar developments there. As its population ages, so too does the age of the oppressed. Corporations always need a new group of dependents to exploit. Enter: the elderly.

The notion that older people provide nothing to their society or economy is absurd and must be put to rest. This perspective is founded on a misplaced priority for metrics like GDP, which fail to account for indirect economic output. Consequently, older people are undervalued, like many in the field of ‘care work,’ as they often take care of their grandchildren or other vulnerable members of their communities. It would make little sense to suggest that retirement breeds incompetence or dependency, because any correlation between the two is a result of human mortality—a vapid complaint by its very nature. In fact, as life expectancies increase, personal agency after retirement directly increases with access to healthcare.¹¹ If people are healthier when they retire, it follows that the timeline between their final day of economically

¹⁰ Dore, R. P. (1964).

¹¹ Gorry, A. (2018).

counted production and future hospice care is lengthened. Their time is often used in sectors that corporations have no incentive to prioritize. People respond to incentives, and the case here is no different.

It makes no difference what intellectual string a consultant may pull, the result is the same. What East Asian countries are experiencing is corporate alienation. As middle-aged workers are crunched harder, familial relationships become harder to maintain. Older people, then, lose the little connections they have to a social safety net—that is, other than the state. Corporate consultants¹² can then freely use an aging population as a scapegoat for economic struggle, rather than the systemic inadequacies they would prefer not to draw attention to.

Pension plans are an excellent example of unfounded corporate fears. On the surface, one might imagine that firms like McKinsey understand pensions as a secret vault of tangible assets. If pensions were only pools of money, they would lose buying power over time due to inflation. Accordingly, rather than let it sit, companies invest the money to earn a side income, and pensions are legal claims to a *proportion* of that future wealth rather than a set amount of money. While pensions can be taken in one lump sum, this would happen after liquidation. Until then, it is a proportion of wealth. Considering market volatility, no company would promise a number from a pool. Rather, they would promise a percentage of the fund.¹³ These systems were designed in advance to avoid failing; no company would take on a long-term liability that is engineered to run out. There are workers hired for this sole purpose. Pensions are one step further away from liquidity than is commonly understood. Therefore, any claim that pensions will ‘run out’ is based on a fundamental misunderstanding of their nature. Pensions cannot run out like a traditional bank account. The only ways that pensions can fail are if the company fails,

¹²Madgavkar, A., Noguera, M. C., Bradley, C., White, O., Smit, S., & Radigan, T. (2025, January 15).

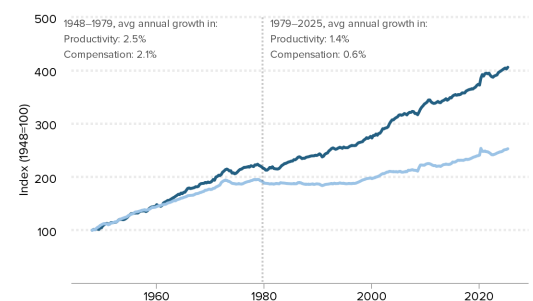
¹³Simmons, L. (2024, February 5).

or worse, the company does not fulfill its obligation. In the eyes of business owners, pensions are outdated and unnecessary overhead¹⁴—a relic of a past era with poorer negotiation leverage. It is in their interests to give the least amount of benefits possible, even turning to informal or part-time workers to do so. According to Hall, “policies often disadvantage part-time staff by limiting access to employee benefits such as health insurance and restricting career advancement opportunities.¹⁵” No company would admit that the relationship is predatory; instead, they would merely act on it, which is exactly what is happening to the modern working class.

Corporations have always leveraged material conditions over the worker, which is why H-1B workers take lower wages in exchange for stability. According to Costa of the EPI, “Sixty percent of H-1B positions certified by the U.S. Department of Labor are assigned wage levels well below the local median wage for the occupation.¹⁶” It is the same reason that stagnant wages have little effect on the domestic labor market; “civilian employers paid 81 percent of premiums for single medical care coverage in March 2024.¹⁷” If domestic workers gained class consciousness and quit, their premiums would instantly quintuple. Despite record profits, wages stay the same.¹⁸ The leverage of capital owners is impossible to ignore. According to the U.S. News Report: “Employees who felt they could rely on a pension benefit after a certain amount of years of service were more likely to stay with a company until pension milestones were achieved. This also

The gap between productivity and a typical worker's compensation has increased dramatically since 1979

Productivity growth and hourly compensation growth, 1948–2025



Notes: Data are for compensation (wages and benefits) of production/nonsupervisory workers in the private sector and net productivity of the total economy. “Net productivity” is the growth of output of goods and services less depreciation per hour worked.

Source: EPI analysis of unpublished Total Economy Productivity data from Bureau of Labor Statistics (BLS) Labor Productivity and Costs program, wage data from the BLS Current Employment Statistics, BLS Employment Cost Trends, BLS Consumer Price Index, and Bureau of Economic Analysis National Income and Product Accounts.

Economic Policy Institute

¹⁴Schultz, E. (2022, November 9)

¹⁵ Hall, A. (2025, July 20).

¹⁶Costa, D. (2020)

¹⁷ BLS. (2024).

¹⁸ EPI. (2025).

enabled employers to save on hiring costs.¹⁹ Pension plans and the promise of long-term stability initially incentivized workers to enter factories; indeed, the shoe is now on the other foot. These plans were widely loved by workers; however, “As more scrutiny and oversight was placed on pension funds, companies started to shy away from offering the benefit and opting for more hands-off and defined contribution plans.²⁰” Corporations then avoid responsibility for their staff in their later years by shifting the burden of social welfare onto a class that is systematically deprived of any means to achieve it. Consultant rhetoric thereby decreases public respect for the elderly²¹ and simultaneously legitimizes ageism,²² “By matching employee contributions up to a certain level, it was easier for companies to budget the dollars and then be removed from future responsibility to the employee.²³” The misguided fear about the end of public healthcare proves this: it is in the interests of corporations to devalue public support for healthcare and social safety until every older person with a pension is accounted for as a liability on a global balance sheet.²⁴

Globally, politicians are faced with the conundrum of balancing corporate and constituent interests. Unfortunately, while corporations have lobbyists, older people merely have grandkids—grandkids who have inherent incubation times. The interests of the old are hard to publicly empathize with. Old age is something a person experiences once, and is often experienced far too late to gain any sort of public attention.

Populations naturally ebb and flow. Though fallacious Malthusian arguments make counterfactuals appealing, one must look at the problem rather than a mere symptom. When advocating for collective prosperity, one must understand who ‘collective prosperity’ actually

¹⁹Hartman, R. (2024, August 30)

²⁰Hartman, R. (2024, August 30)

²¹Visé, D. de. (2024).

²² Stones, M. J., & Stones, L. (1997).

²³ Hartman, R. (2024, August 30)

²⁴ Scott, L. G. and A. (2017, March 1). “Too often, companies view older people as a liability rather than an asset.”

includes. Any attempt to retain long-term economic security must increase corporate responsibility and bolster the very systems that are purported to be failing.

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